



RESEARCH
BRIEF

Federal and Nonprofit Support for Veterans Transitioning to the Civilian Workforce





Each year, many of the more than 150,000 active-duty service members transitioning out of the U.S. military need to find civilian jobs. The ease or difficulty of the military-to-civilian transition can have significant effects on veterans' lives and those of their families. In addition to financial stability, a good job can offer positive social interaction, a sense of purpose, and a chance to develop or hone skills—all elements that were likely fulfilled in the military.

To learn more about how veterans are supported during their transitions from the military to civilian employment, RAND researchers conducted two studies on the existing landscape of support for veteran employment. The first study focuses on federal initiatives. Each year, the federal government invests more than \$13 billion in military-to-civilian employment transition support programs, but there is relatively little information about how these funds are spent and how effective the federal programs are in improving veterans' job outcomes. The second study turns to nonprofit organizations to understand the ways in which they work with and supplement federal efforts to support military-to-civilian transitions.

Together, these studies offer an overview of the system of supports available to transitioning veterans, including both the system's strengths and opportunities for improvement. The results suggest ways that policymakers and organization leaders can enhance and maintain services for veterans who aim to secure meaningful work after their time in the military.

Key Findings

The Federal Veteran Transition Support Landscape Is Vast and Fragmented

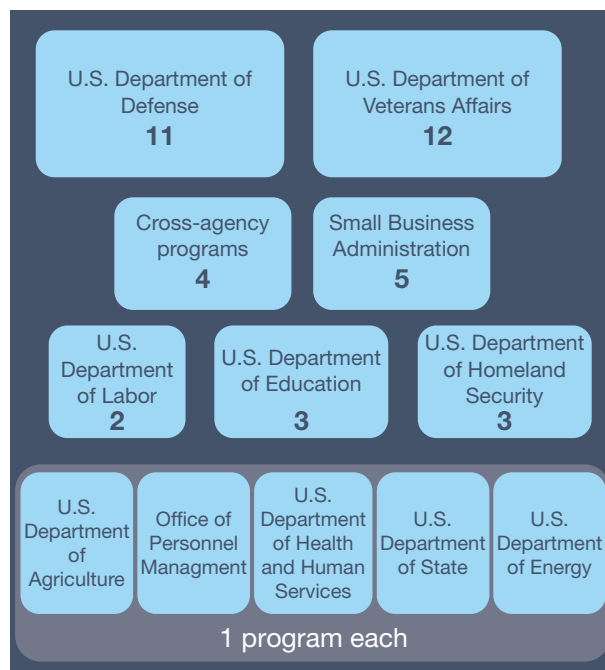
The study team examined the objectives, resources, and effectiveness of 45 federal programs that aim to assist veterans' transitions to the civilian working

world. Figure 1 shows the 12 federal agencies that administer the 45 programs. Numerous congressional committees oversee portions of some programs, and various federal agencies are involved in operating these programs.

Most Federal Transition Programs Focus on Education and Training Rather Than Employment

Very few of the 45 federal programs examined focus specifically on helping service members transition to civilian employment. Most federal funding (95 percent) is directed toward upskilling, retraining, certification, or education programs. Fewer than 50 percent of

FIGURE 1
Federal Agencies with Veterans
Employment Transition Programs



Key Findings

- Many active-duty service members face a major challenge—finding civilian jobs—as they transition out of the military.
- The federal government spends more than \$13 billion annually on veteran employment transition programs, but the system is fragmented, and these programs primarily focus on education and training rather than finding jobs.
- There is a lack of outcome data to measure the effectiveness of federal veteran employment transition programs.
- Nonprofit organizations often provide personalized support for military-to-civilian employment transitions. These programs can offer tailored assistance that federal programs might lack.
- Funding for veteran-serving nonprofit programs is generally strong, but there are reasons to be concerned about the sustainability of nonprofit programs.
- Federal and nonprofit programs can work both independently and collaboratively to develop metrics and collect data to measure effectiveness, reduce program overlap, and strengthen and improve employment transition programs for veterans.

eligible veteran beneficiaries enroll in these programs. Although education programs are valuable, they can take months or even years to complete. Many veterans and their family members might need immediate employment after leaving the military.

There are comparably fewer programs that help transitioning service members and veterans find apprenticeships or jobs and connect these individuals with civilian employers. The Transition Assistance Program (TAP), a three-day course led by the U.S. Departments of Defense, Veterans Affairs (VA), and Labor, is mandatory for transitioning service members (with some exceptions). TAP provides pre-separation preparation for transition, such as financial planning, developing a resume, learning how to search for a job, and learning about VA benefits. The program also provides tracks for transitioning service members to education, employment, vocational, and entrepreneurship; there is special counseling focused on each pathway. Programs that support immediate employment transitions beyond TAP are limited.

Fragmentation and Lack of Oversight Likely Result in Federal Program Overlap

The RAND team found numerous areas of overlap among federal transition programs and services. For example, multiple veteran education programs provide general counseling and services to help transitioning service members and veterans

build life plans and assess their education and employment needs and preferences, but whether one program is better than another is unclear because of a lack of data on program outcomes. In addition, there are many specific occupational skill training programs that serve relatively limited numbers of participants. For example, there are special programs for service members who want to become teachers, nurses, energy management specialists, or procurement officers and for those who want to work in foreign affairs or agriculture. There are opportunities to consolidate these programs to reduce overhead costs and avoid duplication of effort, but this is challenging because of the involvement of multiple federal agencies.

Proof of Federal Program Effectiveness Is Lacking

Among programs designed to help veterans transition to civilian employment, there is virtually no evidence of their effects on career outcomes. For example, little information has been available about whether the largest budgetary program, the Post-9/11 GI Bill, has improved veteran employment. Even though a 2024 study has provided some data, it is still unclear what proportion of eligible service members and veterans use the bill's benefits, whether they graduate from their programs, whether they find employment in their career field and earn higher wages if they do graduate, and whether they remain employed for a significant period.

This example is not singular: Most of the programs examined lack the necessary data, evaluation plans, resources, and outcome measures to assess their effectiveness. Data and metrics on employment, wages, job-finding speed, underemployment, career advancement, and more are vital to effectively manage and improve these programs. Such data and metrics enable stakeholders to evaluate performance, make informed decisions, and ultimately achieve desired outcomes.

Nonprofit Organizations Often Offer Personalized Support in Military-to-Civilian Employment Transitions

Hundreds of nongovernmental, nonprofit programs provide veterans with crucial support in housing, mental health, and employment as they transition to civilian life. In interviews, employment-focused nonprofit representatives noted that unemployment is only one of many employment-related challenges that veterans might face. Some struggle with underemployment, while others need help getting the licenses and certifications necessary for specific jobs. Still others require assistance with resume writing. Others deal with challenges based on their identity. For example, veterans from demographic minority groups and female veterans might face unique challenges. Most nonprofits offer personalized, one-on-one support to transitioning service members and their spouses. Although few programs focus on a single demographic group, the personalized nature of nonprofit organizations' services allows them to help individuals address both the general and more-specific challenges that veterans face.

Nonprofit Veteran Employment Programs Keep Track of Outputs but Provide Inconsistent Measures of Outcomes

Nonprofit transition programs are generally more consistent in collecting and publicly releasing data on program output compared with federal transition programs and often measure important outcomes. These metrics are likely driven by the need to demonstrate the value of their services to veterans, their families, and potential donors. However, programs differ in the outcome measures they use and do not always assess them in the

same way. Many programs report data on outputs, such as the number of program participants and number of hires made, but individual outcome information, such as the percentage of participants employed by the same employer for at least six months or median earnings after program completion, is measured inconsistently. This variability makes direct comparison of programs challenging. Additionally, veterans who seek out nonprofit resources might be different (e.g., more motivated, better resourced) than those who do not, which makes broad conclusions about the effectiveness of these programs difficult to make.

Funding for Veteran-Serving Nonprofit Organizations Is Strong Now, but There Are Reasons to Be Cautious

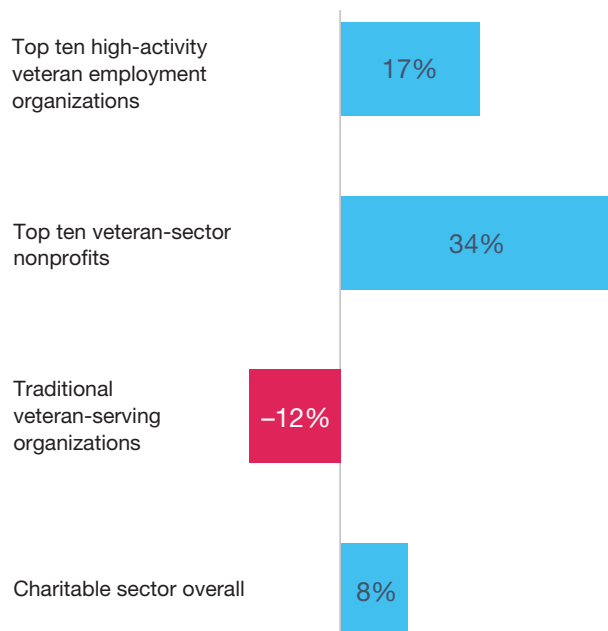
Nonprofit organizations that are focused on veteran employment receive minimal, if any, federal funding. Instead, most organizations rely on philanthropy from individual, corporate, and foundation donors. Because of this, nonprofit representatives expressed concerns in interviews about their ability to sustain programming over the next decade. However, these worries do not seem to be affecting the veteran-serving nonprofit sector yet.

Figure 2 shows results of RAND's analysis of nonprofit Internal Revenue Service tax filings from 2016 to 2022. There has been consistent growth in revenue generation for the top ten veteran-serving nonprofits (34 percent) that surpasses growth in the charitable sector overall (8 percent). The top ten high-activity veteran employment organizations have also seen a growth in revenue (17 percent).

Moreover, RAND's 2023 nationally representative survey of American adults found that many Americans are passionate about donating to veteran-related causes. About 14 percent of respondents donated to veteran-serving charities in the past year, which is close to the percentage who donated to health- and disease-related charities and is greater than the percentage who donated to charities focused on civil rights and climate or environmental issues.

These positive findings do not suggest that nonprofit leaders' concerns about sustainability are not legitimate, however. Overall growth in a sector is no guarantee that a single organization will survive, and small organizations are always more vulnerable to revenue changes. Additionally, as Figure 2 shows, some large traditional veteran-serving organizations have seen substantial declines in revenue. In addition,

FIGURE 2
Percentage of Change in Revenue
Among Nonprofit Organizations,
2016–2022



SOURCE: RAND analysis of GuideStar data. See Candid, “GuideStar: Providing You with the Nonprofit Information You Need,” webpage, undated.

NOTE: The top ten high-activity veteran employment organizations are Hiring Our Heroes (U.S. Chamber of Commerce Foundation), Hire Heroes USA, VetJobs, American Corporate Partners Mentoring, ETS Sponsorship, Black Veterans for Social Justice Inc.—Employment, The Mission Continues, the Travis Manion Foundation, Disabled American Veterans—Employment, and the Wounded Warrior Project—Financial Wellness. The top ten veteran-sector nonprofits are the Wounded Warrior Project, The Seminar Network Inc., the Veteran Tickets Foundation, Disabled American Veterans, Paralyzed Veterans of America, Veterans of Foreign Wars of the United States (VFW), United States Veterans Initiative, the Gary Sinise Foundation, and The American Legion. The traditional veteran-serving organizations are The American Legion, American Veterans (or AMVETS), Disabled American Veterans, Paralyzed Veterans of America, VFW, and Vietnam Veterans of America.

the survey findings also demonstrate that charitable giving to veterans’ issues is strongly related to one’s connection to the military, either directly or through family members. If these connections decline over the long term, interest in charitable giving to veterans’ issues might also decline.

Recommendations

The results from these analyses suggest ways in which federal and nonprofit programs

can individually and collaboratively enhance their ability to help veterans find meaningful employment after their time in the military.

For Federal Policymakers

Mandate regular, consistent budget reporting for all programs supporting military-to-civilian transitions. Because of the overlap in the types of services offered by various programs, there is a clear need for policymakers to intervene and require agencies to standardize their budget and performance reporting.

Identify opportunities to streamline the employment transition landscape and improve oversight. A comprehensive study of the many small, federally funded employment transition programs would provide the evidence needed to decide which programs should be closed or merged with others.

Conduct an independent evaluation of the largest programs to reduce inefficiencies and improve performance. Because the largest programs exclusively or primarily support educational opportunities, this evaluation might be designed to answer: *Are education-focused transition programs the best investment if the goal is to help veterans obtain meaningful, well-paying civilian jobs?* The answer is likely complicated. Some may argue that education programs are more of an earned benefit than transition programs, but given the federal investment in education, rigorous evaluations are warranted.

Refocus military-to-civilian transition support on employment. There are many ways to achieve this goal, including (1) allocating more funding to programs that help transitioning service members, veterans, and their families quickly enter the civilian workforce, (2) revising the TAP curriculum to emphasize job-finding skills and provide guidance for veterans who are at high risk of poor employment outcomes, and (3) working with postsecondary education institutions that receive Post-9/11 GI Bill funding to ensure that they provide adequate counseling services for veteran students.

For Nonprofit Program Leaders

Continue to identify individuals at high risk of poor employment outcomes and differentiate services. Nonprofit programs will remain valuable because they can respond to specific needs, assess local labor market opportunities, and connect veterans

Veteran Employment Programs: What Should Be Measured?

Performance metrics can fuel informed decisions, strategic alignment, and trust. Potential metrics include

- program enrollment and completion
- success finding a job in chosen career field
- income
- hours employed
- health insurance and other benefits
- job retention after 12 months.

with appropriate high-quality and evidence-based supportive services to help their transition.

Diversify revenue streams. Veteran-serving nonprofit revenue appears strong, but sustainability might require adaptation. Direct appeals to the public and working more closely with federal programs through public-private partnerships might help supplement possible losses in the future.

Federal and Nonprofit Programs: Opportunities to Collaborate

Collaborate on the development of meaningful program metrics and use them. There is a need for common performance standards among both federal and nonprofit programs. For individual programs, the measures can be used to monitor program performance, better align performance with program goals, and serve as the foundation for

strategic decisions, such as program consolidation. Multiple programs can use these metrics to build better collaboration because they will be able to gauge one another's effectiveness in specific areas to understand how to form complimentary relationships, where best to refer veterans with specific needs, and whether merging programs is helpful. External audiences and veterans should also have access to this data for transparency and decisionmaking. Metrics for each transition pathway—employment, entrepreneurship, vocational, or education—will be somewhat different.

Implement federal, state, and local policies to provide funding to support the nonprofit sector's pivotal role in aiding transitioning service members. Many nonprofit programs provide valuable one-on-one counseling and guidance in veterans' job search as part of their personalized approach. After a high-quality set of outcome-based performance metrics is established, government agencies could provide grants to nonprofits that achieve high-quality outcomes in job placement. This funding would help offset some of the additional costs that are likely to arise from increased referrals. Providing vouchers to separating service members to work with private sector programs should also be considered. Using vouchers, veterans could purchase counseling services to help with their transition to employment, schooling, or some combination thereof.



This brief describes work done in the RAND Epstein Family Veterans Policy Research Institute and documented in *Federal Programs to Assist Military-to-Civilian Employment Transitions: Limited Scrutiny and Substantial Investment in Education Programs*, by Meredith Kleykamp, Jeffery B. Wenger, Elizabeth Hastings Roer, Matthew Kubasak, Travis Hubble, and Lauren Skrabala, RR-A1363-12 (available at www.rand.org/t/RR-A1363-12); and *Increasing Sustainability of Veteran-Serving Employment-Focused Nonprofits*, edited by Carrie M. Farmer, Kayla M. Williams, and Meredith Kleykamp, RR-A1363-10 (available at www.rand.org/t/RR-A1363-10). To view this brief online, visit www.rand.org/t/RBA1363-3. RAND is a research organization that develops solutions to public policy challenges to help make communities throughout the world safer and more secure, healthier and more prosperous. RAND is nonprofit, nonpartisan, and committed to the public interest. RAND's publications do not necessarily reflect the opinions of its research clients and sponsors. **RAND®** is a registered trademark.

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